The Economy in Three Weeks

A supply shock the central bank cannot cut its way out of. Three weeks in which Australian inflation stayed stuck above the band, unemployment climbed to its highest level of the post-COVID era, real wages fell again — and the Reserve Bank told the country it was more likely to **raise** rates than lower them.

4.35%	3.8%	4.5%	3.2%	US$95
RBA CASH RATE HELD 11 AUG	HEADLINE INFLATION	UNEMPLOYMENT RATE, JULY	ANNUAL WAGE GROWTH	BRENT CRUDE PER BARREL

THE STORY IN ONE SENTENCE

A partial blockade of the Strait of Hormuz has pushed oil to US$95 a barrel and dragged world inflation back up, forcing the RBA into a **hawkish hold at 4.35%** even as Australia's own labour market and housing market visibly weaken — the textbook definition of a **negative aggregate supply shock**, and a live demonstration of why governments cannot achieve all their economic objectives at once.

HOW TO USE THIS DIGEST

Students — every item is tagged to its HSC topic and ends with *Key takeaways*. The yellow boxes tell you how to deploy the item in an extended response. Page 17 has every statistic in one table, four traps to avoid, and three practice questions.

Start with pages 2 and 3. The dashboard gives you every indicator at a glance; the big-picture page explains the single shock that every later number traces back to. Read those two and the rest of the digest will make sense in order.

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3 The Big Picture — one shock, every number
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TOPIC ONE
The Global Economy
Oil, China, tariffs, world growth · p4–6

TOPIC TWO
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Economic Policies and Management
Monetary, fiscal, micro · p15–16

Compiled 23 August 2026 from primary sources: ABS, RBA, Australian Treasury, US Federal Reserve, BLS, EIA, IMF, OECD, WTO, China NBS, and Australian and international press. Every figure is dated. See the verification note on the final page.

Australia at a Glance

Every headline indicator as it stood on 23 August 2026 — colour shows whether the movement is good news (green) or bad news (red) for the economy, not simply up or down.

HEADLINE INFLATION
3.8%
▼ from 4.0% in May

Annual, June 2026 · ABS. Above the 2–3% band for 13 months.

TRIMMED MEAN
3.6%
▬ unchanged

Annual, June 2026 · ABS. The RBA's preferred gauge — still stuck.

CASH RATE
4.35%
▬ held 11 Aug

After three hikes in Feb, Mar and May 2026. A cut was not discussed.

UNEMPLOYMENT
4.5%
▲ from 4.4%

July 2026 · ABS, released 20 Aug. Highest of the post-COVID era.

WAGE GROWTH
3.2%
▼ from 3.4% a year ago
WPI, June quarter 2026 · ABS. Below inflation, so real wages are falling.

UNDEREMPLOYMENT
6.4%
▲ equal 2-year high

July 2026 · ABS. Spare capacity is building beneath the headline.

GDP GROWTH
0.3%
2.5% through the year
March quarter 2026 · ABS. RBA forecasts growth of just 1.4% to Dec 2026.

AUD / USD
0.7145
▲ +7.4% over 2026

21 August 2026 · RBA. Trade-weighted index 65.9.

IRON ORE
95 US$/t
▼ −6.1% y/y
21 Aug 2026. Below US$100 for the first sustained run since 2025.

BRENT CRUDE
95 US$/bbl
▲ +40.5% y/y
21 Aug 2026. Up ~24% since the Iran conflict began in February.

CURRENT ACCOUNT
27.1 $b def.
▼ worse by $4.1b
March quarter 2026 · ABS. Goods and services in deficit, first since 2017.

HOUSING VALUES
0.7 % fall
▼ largest since Dec 2022
National, July 2026 · Cotality. Sydney −1.4%, Melbourne −1.2%.

THREE WEEKS IN FIVE MOMENTS

WEEK 1 — 4–6 AUG
Household spending +0.8%; trade surplus $1.9bn on a gold surge; S&P reaffirms AAA

WEEK 2 — 11 AUG
RBA holds at 4.35%. Bullock: the Board will raise rates further if required

WEEK 2 — 12–13 AUG
Hormuz talks stall, oil climbs; US CPI 3.4%; Australian earnings growth slowest since 2022

WEEK 3 — 17–19 AUG
China's July data misses across the board; Fed minutes flag possible hikes; WPI 3.2%

WEEK 3 — 20–21 AUG
Unemployment jumps to 4.5%; Moody's reaffirms AAA; tax reform tranche passes Parliament

WORSENING
Unemployment · underemployment · real wages · housing values · new lending · the current account · iron ore

STUCK
Trimmed mean inflation at 3.6% · the cash rate at 4.35% · productivity growth · GDP growth well below trend

IMPROVING
Headline inflation easing from its March peak · export prices for gold, LNG, coal and copper · AAA credit ratings reaffirmed twice

THE FOUR OBJECTIVES OF ECONOMIC MANAGEMENT — A SCORECARD

Price stability ✕ NOT MET
Trimmed mean **3.6%** against a 2–3% band, above target for 13 months and not forecast to reach the 2.5% midpoint until late 2027 into 2028.

Full employment ~ SLIPPING
Unemployment **4.5%** and rising; underutilisation **10.9%**. The RBA still calls this "a little tighter than full employment" and forecasts 4.8% by 2028.

Economic growth ✕ NOT MET
GDP grew **0.3%** in the March quarter, 2.5% annual. The RBA forecasts just **1.4%** to December 2026 — well below trend.

External stability ~ WATCH
CAD **$27.1bn** and widening; net foreign liabilities **$707.6bn**. But AAA reaffirmed by both S&P and Moody's this month.

The Big Picture: a supply shock, not a demand boom

Why almost every number in this digest points back to one map reference in the Persian Gulf.

FORCE 1 — THE ENERGY SHOCK

Strait of Hormuz partly blockaded
since Feb 2026 · Brent ≈ US$95/bbl
(+40% y/y) · Asian LNG +99% y/y
→ cost-push inflation worldwide
→ central banks cannot cut rates

CONTRACTS AGGREGATE SUPPLY

AUSTRALIA IS CAUGHT BETWEEN THEM

Inflation 3.8% · trimmed mean 3.6%
Unemployment 4.5% and rising
Cash rate 4.35% after three 2026 hikes
Real wages falling · productivity flat
= STAGFLATIONARY PRESSURE

FORCE 2 — THE AI BOOM

Global tech investment surging
AI-enabling goods trade +40% y/y
Trading-partner growth revised UP
China exports +23.9% y/y in July
→ props up world demand

SUPPORTS AGGREGATE DEMAND

THE TRANSMISSION MECHANISM, STEP BY STEP

Strait of Hormuz partly blockaded
Transits down from ~130/day to ~10–30; flows 5–10 mb/d vs 20 mb/d pre-war

↓

World oil supply contracts
EIA: 5.5 mb/d of production shut in during July 2026

↓

Oil and gas prices rise
Brent ≈ US$95/bbl (+40% y/y); Asian LNG +99% y/y

↓

Business input costs rise everywhere
Freight, insurance, plastics, fertiliser, electricity generation

↓

Firms pass costs on → cost-push inflation
Australian headline CPI 3.8%; US 3.4%; global inflation forecast 4.7%

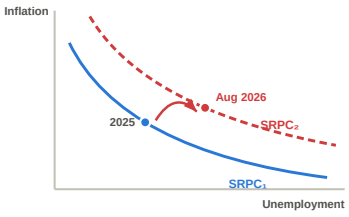
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Central banks cannot cut rates
RBA holds at 4.35% with a tightening bias; Fed debates a hike

↓

Real incomes fall, unemployment rises
Australian real wages −0.6%; unemployment up to 4.5%

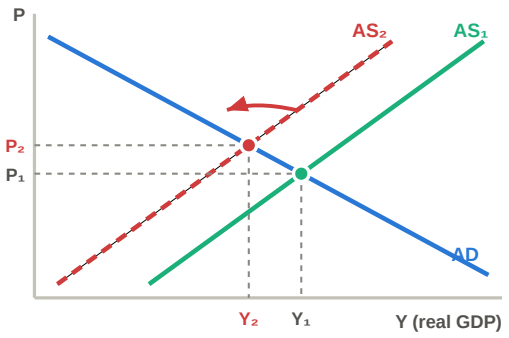
The short-run trade-off has worsened



A supply shock shifts the whole short-run Phillips curve **outward**: at every level of unemployment, inflation is now higher than it was. Australia has not simply slid along a curve — it has moved to a *worse* one. Inflation is up **and** unemployment is up.

That is why "just accept a bit more unemployment to get inflation down" is a weaker argument in 2026 than it looks: the trade-off itself has deteriorated.

THE MODEL: A NEGATIVE SUPPLY SHOCK



A leftward shift of aggregate supply raises the price level ($P_1 \rightarrow P_2$) *and* lowers real output ($Y_1 \rightarrow Y_2$) at the same time. Both of an economic manager's main targets move the wrong way together. This is **stagflation**, and it is why the usual demand-side toolkit does not work.

WHY THIS MATTERS FOR YOUR EXAM

- A **demand-pull** inflation lets the RBA raise rates with a clear conscience: dampening AD cuts both inflation and growth-driven overheating.
- A **cost-push** inflation forces a choice. Raising rates does nothing to reopen the Strait of Hormuz; it only destroys domestic demand and jobs.
- The RBA's stated fear is **second-round effects** — that a temporary price shock becomes embedded in wage and price expectations. That, not the oil price itself, is what it is raising rates against.
- Notice the diagnostic signature in the data: **headline inflation above underlying inflation** (Australia 3.8% vs 3.6%; the US 3.4% vs core 2.5%). That gap is the fingerprint of a supply shock.

1 The Global Economy

Syllabus Topic One · 25% of course time · Outcomes H1–H12 · The operation of the global economy and the impact of globalisation on individual economies

1.1 Six months on, the Strait of Hormuz is still closed — and oil is back near US$95

5–22 AUGUST · MIDDLE EAST · GLOBAL SUPPLY SHOCK

The war between the United States, Israel and Iran that began in late February has left the world's most important oil chokepoint only partly open. Before the conflict, roughly **130 vessels a day** carried about **20 million barrels — one-fifth of global oil supply** — through the Strait of Hormuz. On Monday 10 August, ten ships made the transit.

An interim deal brokered by Oman looked close on 5 August, but collapsed when Iran demanded war reparations and sanctions relief as the price of reopening. The 60-day memorandum expired on **17 August with no agreement**. Oil, which had fallen back to pre-war levels in late June, promptly rose more than 5% in each of the two weeks to 21 August.

The cost is not only the barrel price. War-risk insurance for a Hormuz transit now runs at **7.5–10% of a ship's hull value** — about US$21 million for a very large crude carrier — against 1–3% before the conflict. Gulf-to-China tanker freight is above **four times its five-year average**. Those costs land in the price of everything that moves by sea, which is most things.

The chokepoint in numbers

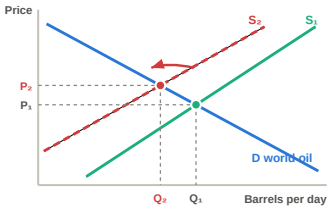
MEASURE	THEN	NOW
Daily transits	~130	**~10–30**
Oil flow (mb/d)	21.6	**5–10**
Brent (US$/bbl)	67.80	**~95**
War-risk insurance	1–3%	**7.5–10%**
Gulf–China freight	$18.91/t	**$77.96/t**

"Then" = pre-conflict or the five-year average; "Now" = mid-to-late August 2026. Sources: EIA Short-Term Energy Outlook (11 Aug), Al Jazeera, Trading Economics.

THE FORECAST TO QUOTE

The US EIA expects Brent to average **US$85 in Q3 2026, US$78 in Q4** and **US$69 in 2027**, with trade patterns not normalising until early 2027. That is your evidence that this shock is treated as large but temporary.

The world oil market: a leftward shift in supply



Roughly a quarter of seaborne crude cannot get out of the Gulf. Supply shifts from S_1 to S_2, and because the **demand for oil is highly price-inelastic in the short run** — you cannot quickly change how you heat a house or run a truck fleet — the price rises a great deal while the quantity traded falls only a little. That inelasticity is why a partial blockade produces a 40% price rise.

THREE CHANNELS INTO AUSTRALIA

- **Import prices.** Australia refines little of its own fuel. Petrol, diesel, freight, plastics and fertiliser all become dearer, and those costs flow through the whole supply chain into the CPI.
- **World inflation, and therefore world interest rates.** Every trading partner faces the same shock, so no central bank can ease. Global bond yields rise, and Australian banks that fund offshore pay more regardless of what the RBA does.
- **The terms of trade.** Australia sells LNG and coal into the same scarcity. Export earnings and company tax receipts rise even as household budgets are squeezed — which is why this shock helps the national accounts and hurts the household at the same time.

KEY TAKEAWAYS

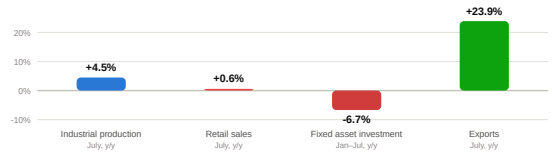
- A **supply-side shock** to a globally traded input transmits to every economy at once — this is globalisation's downside as a transmission channel.
- Oil is **price-inelastic in demand** in the short run, so a modest supply loss produces a very large price rise.
- The shock reaches Australia through **three separate channels**: import prices, world inflation and therefore world interest rates, and the terms of trade (our LNG and coal earn more).
- Australia is a **net energy exporter but a net crude importer** — which is why this shock helps the trade balance and hurts the household budget simultaneously.

TOPIC 1 · GLOBALISATION · TRADE FLOWS · → TOPIC 3: INFLATION · → TOPIC 2: TERMS OF TRADE

1.2 China's July data misses across the board — and investment is now shrinking

17 AUGUST · NATIONAL BUREAU OF STATISTICS · AUSTRALIA'S LARGEST TRADING PARTNER

China, July 2026 (% change on a year earlier)



Industrial production and retail sales both slowed; fixed asset investment is contracting outright. Only exports — driven by AI-related electronics — are strong. Source: China NBS, released 17 August 2026.

Every domestic activity indicator undershot forecasts. Industrial production slowed to **4.5%** from 5.3% and retail sales grew just **0.6%**. Most striking, fixed asset investment was **down 6.7%** year to date — an outright contraction in a country whose growth model has been built on investment for three decades.

The property sector remains the wound: real estate investment fell **19.2%** year to date, new housing starts **24%**, and crude steel output about 3% in the first half. The counterweight is trade — exports rose **23.9%** in July, with integrated circuit exports nearly doubling this year. China is slowing at home and booming abroad.

Beijing has announced no headline stimulus: the 30 July Politburo meeting promised only "stepped-up counter-cyclical policy adjustments", and on **20 August the PBoC left its Loan Prime Rate unchanged for a fifteenth consecutive month**. Australia is waiting on a stimulus that has been signalled but not delivered.

KEY TAKEAWAYS

- China's official 2026 growth target is **4.5–5%**, the lowest in decades; first-half growth was 4.7%.
- Weak Chinese **steel production** is the direct cause of the iron ore price falling while every other commodity rises (see item 2.1).
- This is a live illustration of the **international business cycle** and of the risks of export concentration in one market and a narrow range of goods.

TOPIC 1 · INTERNATIONAL BUSINESS CYCLE · → TOPIC 2: TRADE FLOWS · → TOPIC 3: ECONOMIC GROWTH

1.3 America rebuilds its tariff wall — and Australia lands in the higher tier

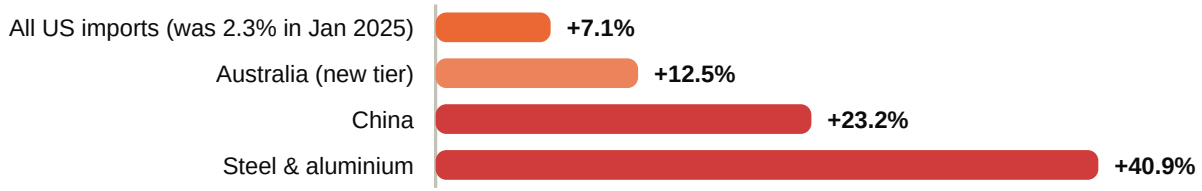
24 JULY, EFFECTIVE THROUGH AUGUST · US TRADE POLICY · SECTION 301

In February the US Supreme Court struck down the "reciprocal" tariffs imposed under emergency powers, ruling 6–3 that the power to "regulate importation" does not extend to imposing tariffs; over **US$100 billion** of the US$166 billion collected has since been refunded. The administration replaced the scheme twice — first at 15% under Section 122, then, the minute that authority expired on 24 July, under **Section 301 "forced labour" tariffs covering 86 countries**.

The new structure charges **10%** to countries with a US-style import ban on forced-labour goods and **12.5%** to those without. Australia, despite strong domestic anti-slavery legislation, has no equivalent import ban and sits in the **higher 12.5% tier**. Roughly 60% of our exports remain exempt; the rest face an estimated **A$1.6 billion** in extra charges, hitting manufacturing, lamb and wine hardest.

The regime is not settled: on **3 August twenty-five US states sued**, arguing there is "no rational fit" between forced labour and a blanket global tariff. India cut its own rate to 10% in June simply by legislating a US-style import ban — a live and inexpensive option for Canberra.

Average effective US tariff rate, June 2026



Penn Wharton Budget Model, 10 August 2026; US Studies Centre for the Australian tier. The average has *fallen* from its early-2026 peak because of the Supreme Court ruling.

KEY TAKEAWAYS

- A tariff is a tax on imports: it raises the domestic price, protects domestic producers, and transfers surplus from consumers to producers and government — with a **net welfare loss**.
- Australia is a **price taker** harmed twice over: directly by the tariff on our exports, and indirectly because global protectionism slows world trade and growth.
- Note the **institutional** point: US courts, not trade negotiations, have been the main constraint on tariff policy.

TOPIC 1 · PROTECTION · FREE TRADE · INTERNATIONAL ORGANISATIONS · → TOPIC 2: AUSTRALIA'S TRADE POLICY

1.4 Nobody is cutting: the world's central banks turn hawkish together

19–20 AUGUST · FEDERAL RESERVE MINUTES · GLOBAL MONETARY POLICY

The minutes of the Federal Reserve's July meeting, released on **19 August**, revealed that "many participants assessed that policy tightening would likely be necessary if inflation did not decline." Three members had already dissented in favour of a *quarter-point increase* — the most fractured Fed vote in years.

That leaves the Fed in a genuine stagflationary bind. US annual CPI is **3.4%** — core just 2.5%, with petrol up 24.6% — while July payrolls **fell by 23,000** and the previous two months were revised down by 103,000. Inflation says tighten; the labour market says ease.

The institutional story is live too. Kevin Warsh replaced Jerome Powell as chair in May; reports of undisclosed calls between President Trump and Warsh prompted four Senate Democrats to warn on 19 August of "a perception that the White House is shaping monetary policy" — a direct challenge to **central bank independence**, the principle on which the RBA's credibility also rests.

Meanwhile the **US 30-year Treasury yield topped 5.33% on 18 August, a 19-year high**, on inflation, deficits and a wave of debt issuance by AI companies. Because Australian banks fund themselves partly offshore, that is a direct upward pressure on Australian fixed mortgage and business lending rates that the RBA does not control.

Policy rates, 23 August 2026

CENTRAL BANK	RATE	LAST MOVE	BIAS
RBA (Australia)	**4.35%**	Hold, 11 Aug	Tightening
US Federal Reserve	3.50–3.75%	Hold 9–3, 29 Jul	3 dissents for a *hike*
Bank of England	3.75%	Hold, 30 Jul	Neutral
European Central Bank	2.25%	Hold, 23 Jul	Neutral
Bank of Japan	1.00%	Hold 8–1, 31 Jul	One more hike expected
RBNZ (New Zealand)	2.50%	**Hiked**, 8 Jul	Tightening
PBoC (China, 1-yr LPR)	3.00%	Hold, 20 Aug (15th month)	Easing bias

Not one major advanced-economy central bank eased in August 2026. Three — the RBA, RBNZ and Bank of Japan — are tightening or carry a tightening bias. Australia now has the **highest policy rate in this group**.

KEY TAKEAWAYS

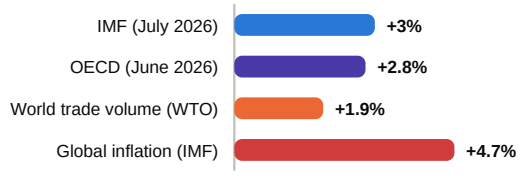
- **Interest rate differentials** drive capital flows and therefore exchange rates: Australia's 4.35% against the Fed's 3.50–3.75% helps explain the AUD's strength through 2026.
- Higher **global bond yields** raise the cost of funds for Australian banks regardless of the RBA's decision — monetary policy independence is real but incomplete.
- The synchronisation is itself evidence: when every central bank faces the same problem at the same time, the cause is a **common global shock**, not domestic mismanagement.

TOPIC 1 · GLOBAL FINANCIAL FLOWS · INSTITUTIONS · → TOPIC 2: EXCHANGE RATE · → TOPIC 4: MONETARY POLICY

1.5 Global growth holds up — because AI investment is offsetting a war

STANDING FORECASTS · IMF (8 JULY) AND OECD (3 JUNE) · NO UPDATE IN AUGUST

Global growth forecasts for 2026



The IMF and OECD disagree by 0.2 of a percentage point — a useful reminder that forecasts are estimates, not facts, and a legitimate evaluation point in an extended response.

The IMF's July update was subtitled *"Global Economy in Crosscurrents of War and Technology"* — as good a summary of 2026 as exists. It holds global growth at **3.0%** for 2026, but raises global inflation to **4.7%** and notes that **global disinflation has stalled**.

What is holding the world economy up is a technology investment boom. The WTO reports the dollar value of AI-enabling goods traded rose **more than 40% year on year** in the March quarter. The RBA's own August statement says trading-partner growth has been "stronger than anticipated, as investment in artificial intelligence has offset conflict-related headwinds."

Australia participates barely at all: the RBA notes Australian equities lag international markets partly because of "limited exposure to the global AI supply chain". We sell the commodities, not the chips.

KEY TAKEAWAYS

- Two **opposing global shocks** are running simultaneously: a negative supply shock from energy and a positive investment shock from technology.
- The IMF/OECD gap (3.0% vs 2.8%) is a ready-made **evaluation point** — cite both and note the disagreement rather than presenting one as truth.
- Australia captures the **commodity** upside of the AI boom (copper, lithium, energy for data centres) but not the **value-added** upside.

TOPIC 1 · GLOBAL GROWTH · INTERNATIONAL ORGANISATIONS · STRUCTURAL CHANGE · → TOPIC 3: ECONOMIC GROWTH

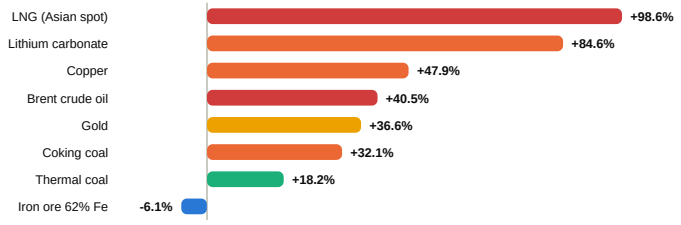
2 Australia's Place in the Global Economy

Syllabus Topic Two · 25% of course time · Australia's trade and financial flows, the exchange rate, the balance of payments, free trade and protection

2.1 The great commodity split: everything is up except the one thing we sell most of

21 AUGUST · WORLD COMMODITY MARKETS · TERMS OF TRADE

Australian export commodity prices — change over 12 months



Levels at 21 August 2026. Sources: Trading Economics; cross-checked against Westpac's August 2026 commodities update. Iron ore is the sole faller — and it is Australia's single largest goods export.

Read that chart carefully, because it contains the whole of Australia's external position in one image. The energy shock has lifted **LNG by 99%**, coking coal by 32% and crude by 40%. Investor anxiety has lifted **gold by 37%** to US$4,607 an ounce. The AI and electrification build-out has lifted **copper by 48%** — to an all-time high on 6 August — and lithium carbonate by 85%.

And **iron ore has fallen 6%**, to US$95 a tonne. It touched a one-year low on 3 August and has been range-bound between US$93 and US$100 since June. July was the first full month below US$100 since July 2025.

The reason is the split identified in item 1.2: iron ore is a bet on Chinese *construction*, which is contracting. Everything else on the chart is a bet on energy scarcity or on technology, and both are booming.

The net effect on the **terms of trade** — export prices divided by import prices — was mildly positive in the March quarter, rising 1.1% to 96.4. But Australia is also a **net importer of crude oil**, so the same shock that lifts our LNG receipts lifts our fuel import bill.

EXPOSED TO CHINESE CONSTRUCTION

Iron ore **−6%**. The one bucket that is failing — and it carries Australia's largest single export weight.

EXPOSED TO THE ENERGY SHOCK

LNG **+99%**, coking coal **+32%**, thermal coal **+18%**. Scarcity pricing — it reverses if Hormuz reopens.

EXPOSED TO THE TECHNOLOGY BOOM

Copper **+48%**, lithium **+85%**, gold **+37%**. Structural demand from electrification and data centres.

KEY TAKEAWAYS

- **Terms of trade = (export price index ÷ import price index) × 100.** A rise means each unit of exports buys more imports — a real income gain for the nation.
- Australia's export concentration in a **narrow range of commodities** sold to a **narrow range of markets** is the classic structural vulnerability of this economy.
- Commodity prices are **volatile** because both supply and demand are price-inelastic in the short run — small imbalances produce large price swings.
- Higher export prices flow into the AUD, company tax receipts and the budget — but the RBA and Treasury both treat commodity windfalls as **temporary** and avoid spending them.

USING THIS IN THE EXAM

A high-band answer will note that a rising terms of trade normally appreciates the AUD and improves the trade balance, then explain why the effect was muted here: the commodity that fell is the one with the largest export weight.

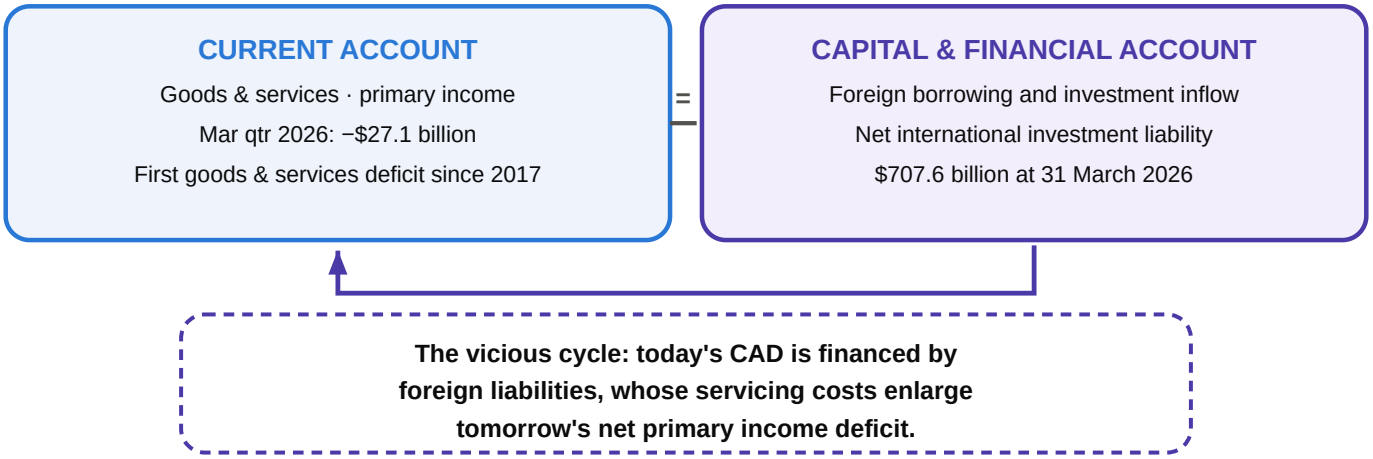
TOPIC 2 · TERMS OF TRADE · TRADE FLOWS · STRUCTURAL CHANGE · → TOPIC 1: CHINA · → TOPIC 4: BUDGET

2.2 A $1.9 billion trade surplus — built almost entirely on gold

6 AUGUST · ABS INTERNATIONAL TRADE IN GOODS, JUNE 2026

Australia's goods trade balance swung from a **$2,367 million deficit in May** — the largest since December 2015 — to a **$1,929 million surplus in June**, a $4,296 million turnaround in a single month. Exports rose 9.6% to $47,696 million; imports were essentially flat. **Non-monetary gold exports rose 60.2%, adding $2,720 million** on their own — more than the entire swing into surplus. Metal ores and minerals added a further $839 million, while fuel imports fell 11.9%.

Gold is not a normal export. It surges when global investors are frightened, which is precisely what a Middle Eastern war and a US bond selloff produce. A trade surplus resting on a safe-haven asset is not evidence of improving competitiveness. The underlying position is weaker: in the **March quarter 2026** the current account deficit widened to **$27.1 billion** and the **balance on goods and services moved into deficit for the first time since December 2017**, with net exports subtracting 0.8 percentage points from GDP growth.



Australia's external position — the numbers to know

INDICATOR	LATEST	PERIOD
Current account balance	**−$27.1bn**	Mar qtr 2026
Change on previous quarter	−$4.1bn	Dec qtr 2025: −$23.0bn
Terms of trade index	**96.4**	Mar qtr 2026 (+1.1%)
Net international investment liability	**$707.6bn**	31 Mar 2026
Contribution of net exports to GDP	−0.8 pp	Mar qtr 2026
Goods trade balance	**+$1,929m**	June 2026
Goods exports · imports	$47.7bn · $45.8bn	June 2026

Sources: ABS Balance of Payments (rel. 2 June) and International Trade in Goods (rel. 6 August).

WORKED EXAMPLE — OUTCOME H11

Q. Annualise the March-quarter CAD and express it as a percentage of GDP, given nominal GDP of approximately $2,900 billion.
Step 1. $27.1bn × 4 = **$108.4 billion**.
Step 2. 108.4 ÷ 2,900 × 100 = **3.7% of GDP**.
Step 3 — interpret. A CAD near 3–4% of GDP is close to Australia's long-run average and is not on its own a sustainability concern. What matters is the *trend*, whether it is financed by debt or equity, and whether the borrowing funds investment or consumption. Marks come from the interpretation, not the arithmetic.

WHY THE GOODS AND SERVICES DEFICIT MATTERS

- Australia had run a goods and services **surplus every quarter since December 2017** — nine years of mining-boom trade strength.
- That surplus kept the current account deficit small despite a persistently large **net primary income deficit** — the dividends and interest paid to foreign owners of Australian assets.
- With the trade surplus gone, the full weight of that primary income deficit now shows up in the current account. That is the structural story behind $27.1 billion.

KEY TAKEAWAYS

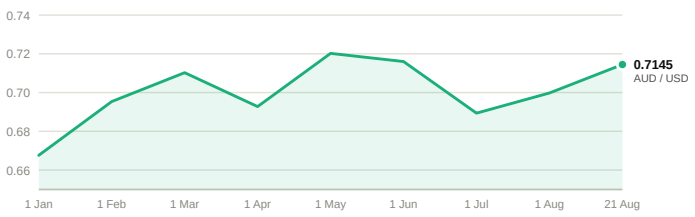
- The **current account** records trade in goods and services plus primary and secondary income; the **capital and financial account** records the borrowing and investment that finances it. By construction they offset.
- Australia's **net international investment liability position reached $707.6 billion** at 31 March 2026, up $62.3 billion in a quarter.
- A CAD is not automatically a problem. The **Pitchford thesis** holds that privately incurred, investment-driven deficits are self-correcting. The concern is **debt sustainability** — the ratios of debt and servicing costs to GDP and to export earnings.
- One month's surplus driven by **one volatile commodity** is not a trend.

TOPIC 2 | BALANCE OF PAYMENTS | EXTERNAL STABILITY | H11 · CALCULATION → TOPIC 3: EXTERNAL STABILITY

2.3 The dollar climbs to an eleven-week high — mostly because the US dollar is falling

21 AUGUST · RBA OFFICIAL RATES · AUD/USD 0.7145, TWI 65.9

Australian dollar against the US dollar, 2026



First trading day of each month plus 21 August. Peak for the year was 0.7260 on 13 May; the low was 0.6676 on 1 January. Sources: RBA, exchange-rates.org.



The AUD finished the week to 21 August at **0.7145 US cents**, an eleven-week high and its eighth consecutive weekly gain, with the trade-weighted index at **65.9**. Over 2026 as a whole the currency is up **7.4%**.

Attribute the move carefully. The RBA's own assessment is that the AUD *depreciated 1.2% on a TWI basis* since the May Statement while remaining about 5% above its January level, naming narrowing yield differentials, **falling iron ore prices** and rising US bond yields as the drivers of that softness.

What lifted the AUD in the fortnight to 21 August was largely **US dollar weakness** — a failed Treasury bond intervention and renewed deficit concerns — not Australian strength. On 19 August the AUD actually fell despite hawkish RBA commentary, because domestic data came in soft. Markets price roughly a **68% chance of an RBA hike by February 2027**, which supports the currency through the differential channel.

KEY TAKEAWAYS

- Australia operates a **floating exchange rate**: the AUD is determined by supply and demand in the foreign exchange market, not set by the RBA.
- The three main demand drivers are the **terms of trade**, **interest rate differentials**, and **expectations/speculation**. All three are visible in 2026.
- An appreciation acts like a **mild monetary tightening**: it lowers import prices and imported inflation, helping the RBA's job — but it also erodes export competitiveness.
- Always distinguish **AUD/USD** from the **trade-weighted index**. The TWI is the better measure of the currency's overall value because it weights our actual trading partners.

USING THIS IN THE EXAM

Depreciation is not simply 'good for exporters'. In an evaluation, weigh cheaper exports and a J-curve improvement in the trade balance against dearer imports, imported inflation, and a larger AUD value of foreign-currency-denominated debt (the valuation effect).

TOPIC 2 · EXCHANGE RATES · FINANCIAL FLOWS · → TOPIC 4: MONETARY POLICY · → TOPIC 3: INFLATION

2.4 Australia's own trade policy problem: 12.5% and no negotiation in sight

AUGUST · TRADE POLICY · FREE TRADE AND PROTECTION

Item 1.3 set out the new US tariff architecture; the Australian consequence puts a live policy choice in front of the government. Australia faces the **12.5% tier** only because it lacks a US-style import ban on forced-labour goods — India moved to the 10% tier in June simply by legislating one. Trade Minister Don Farrell said in February the government was "examining all options"; by 23 August no negotiation outcome had been announced.

Set against that, Australia's own protection continues to fall: Treasury reports **nearly 500 further tariffs abolished** in twelve months — 1,000 in total — saving business **$157 million a year**. Australia liberalises unilaterally while its largest security partner raises barriers.

Arguments for protection

- Infant industry — shelter while scale is achieved
- Domestic employment in exposed industries
- Defence and supply-chain self-sufficiency
- Retaliation as negotiating leverage

Arguments against

- Higher prices, lower real incomes for consumers
- Resources locked into inefficient industries
- Loss of comparative advantage gains
- Deadweight welfare loss on every unit

KEY TAKEAWAYS

- Roughly **60% of Australian exports remain exempt**, but the remainder face about **A$1.6 billion** in extra charges — manufacturing, lamb and wine hardest hit.
- Australia's relative tariff position moved from an advantage of **+1.88%** in December 2025 to a disadvantage of **−0.34%**.
- Australia's response is constrained by being a **small open economy** — retaliation is not a credible threat against a market of America's size.

TOPIC 2 · FREE TRADE & PROTECTION · STRUCTURAL CHANGE · → TOPIC 4: MICROECONOMIC POLICY

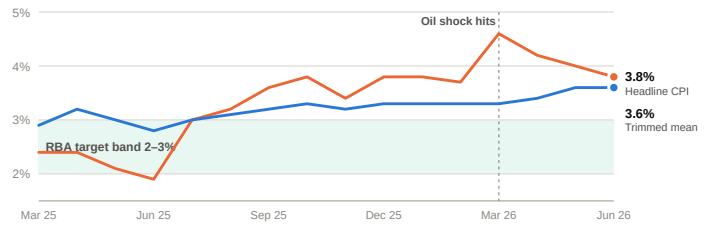
3 Economic Issues

Syllabus Topic Three · 25% of course time · Economic growth, unemployment, inflation, external stability, distribution of income and wealth, environmental sustainability

3.1 Inflation eases to 3.8% — but the underlying rate has not moved in six months

REFERENCE MONTH JUNE 2026 · ABS · THE NUMBER THE RBA IS ACTUALLY WATCHING

Annual inflation vs the RBA's 2–3% target band



Monthly CPI, annual movement. Headline peaked at 4.6% in March 2026 as the oil shock hit; it has eased since. The trimmed mean has drifted *up* from 3.3% to 3.6% over the same period. Source: ABS.

Headline inflation was **3.8%** over the year to June 2026, down from 4.0% in May and 4.6% at the March peak. That looks like progress. It is not the number the Reserve Bank cares about.

The **trimmed mean** — which strips out the largest price rises and falls to reveal the underlying trend — was **3.6%**, unchanged from May and drifting *upward* from 3.3% in January. Headline inflation is falling because petrol fell 10.9% in June; underlying inflation is not falling at all. Inflation has now been above the 2–3% target band for thirteen consecutive months.

⚡ THE ELECTRICITY PARADOX — THE BEST TEACHING EXAMPLE OF THE YEAR

Measured electricity prices rose **22.4%** over the year to June 2026 and were the single largest contributor to Australian inflation. Yet the actual regulated price of electricity **fell** from 1 July 2026: the Australian Energy Regulator's Default Market Offer cut NSW residential rates by 3.4–5%, south-east Queensland by 7.2% and the Victorian Default Offer by 5%. Both facts are true. Prices fell — but the Commonwealth's **$75-per-quarter energy bill rebate ended on 31 December 2025**, so the amount households actually pay jumped. A subsidy withdrawal shows up in the CPI exactly like a price rise.

Three lessons: (1) fiscal policy can mechanically move a price index in either direction without any change in underlying market conditions; (2) this is precisely why the RBA looks at the *trimmed mean*; (3) temporary cost-of-living relief creates a cliff when it is withdrawn — a real constraint on government, not just an accounting quirk.

WHERE THE PRESSURE IS COMING FROM

CPI GROUP	ANNUAL
Housing	**6.8%**
— Electricity	22.4%
— New dwellings	5.8%
— Rents	3.6%
Clothing & footwear	4.9%
Education	4.8%
Alcohol & tobacco	4.4%
Food & non-alcoholic bev.	3.3%
Transport	0.1%

KEY TAKEAWAYS

- **Headline CPI** measures the full basket; the **trimmed mean** excludes the most extreme 30% of price movements to reveal the persistent trend.
- When headline sits *above* underlying inflation, the cause is usually a **supply shock in a volatile item**. When underlying is the higher of the two, the pressure is broad and domestic.
- The RBA's August forecasts have the trimmed mean at **3.3% by December 2026 and 3.0% by June 2027**, reaching the 2.5% midpoint only in **late 2027 into 2028**.
- Persistent inflation redistributes income from savers and fixed-income earners to borrowers, and erodes **international competitiveness** if it exceeds our trading partners' rates.

USING THIS IN THE EXAM

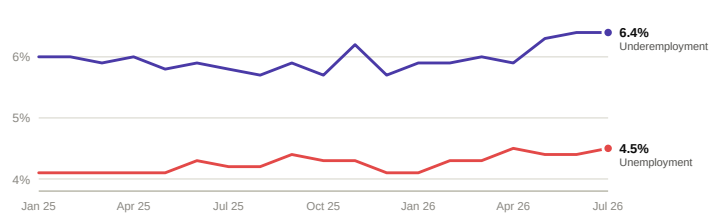
Never cite headline inflation alone. A Band 6 answer cites both measures and explains why they diverge. "Headline inflation of 3.8% overstates the improvement, because the trimmed mean of 3.6% has been unchanged since May" is worth more than any amount of description.

TOPIC 3 | INFLATION | COST-PUSH | → TOPIC 4: MONETARY POLICY | → TOPIC 1: OIL SHOCK

3.2 Unemployment hits 4.5% — the highest of the post-COVID era

RELEASED 20 AUGUST · ABS LABOUR FORCE, JULY 2026

Unemployment and underemployment, seasonally adjusted



The two series are diverging: underemployment has risen faster than unemployment since May, which means hours are being cut before jobs are. Source: ABS.

Employment **fell by 16,000** in July against a market expectation of a 15,000 gain — a substantial downside surprise. The unemployment rate rose to **4.5%**, its highest since the pandemic recovery.

The detail is softer than the headline. The **participation rate fell 0.2 points to 66.9%**, which mechanically *held the unemployment rate down* — people who stop looking for work are not counted as unemployed. **Hours worked fell by 12 million** and **underemployment is 6.4%**, equal to a two-year high.

Add unemployment and underemployment and you get a **labour force underutilisation rate of 10.9%** — a much fuller picture of spare capacity than 4.5% alone.

Composition matters: full-time employment rose 16,300 while part-time fell 32,200. Job vacancies had already fallen 2.1% in the May quarter, the first decline since August 2025.

The ABS notes the July survey used seven of eight rotation groups, so standard errors are larger than usual — a caveat worth citing.

KEY TAKEAWAYS

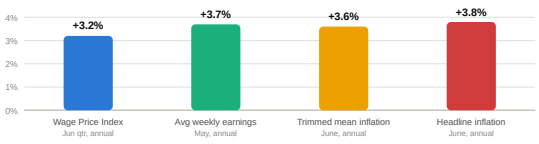
- **Unemployment rate = (unemployed ÷ labour force) × 100. Participation rate = (labour force ÷ working-age population) × 100.** Both are examinable calculations.
- A falling participation rate *understates* the deterioration: **discouraged workers** leave the labour force entirely and disappear from the numerator and denominator.
- The RBA still judges the labour market *"a little tighter than full employment"* and forecasts unemployment rising to **4.8% by December 2028**. It is accepting higher unemployment as the cost of lowering inflation.

TOPIC 3 · UNEMPLOYMENT · H11 · CALCULATION · NAIRU · → TOPIC 4: POLICY CONFLICT

3.3 Real wages fall again: wage growth 3.2%, inflation 3.8%

13 AND 19 AUGUST · ABS AVERAGE WEEKLY EARNINGS AND WAGE PRICE INDEX

Wages vs prices, latest readings



On every comparison, wage growth is running below inflation. The gap between the Wage Price Index (3.2%) and headline inflation (3.8%) means **real wages fell about 0.6%** over the year to June 2026.

Two releases landed in the same week and told the same story. The **Wage Price Index** rose 0.8% in the June quarter and **3.2% over the year**, down from 3.4% and well below the December 2023 peak of 4.3%. Public sector wages (3.4%) outpaced private (3.1%) for a sixth consecutive quarter, and **79% of jobs recorded annual increases below 4%** — the highest share since mid-2022.

Average weekly ordinary time earnings reached $2,083.70 in May, growing **3.7% — the slowest since November 2022**.

Against headline inflation of 3.8%, the 2024–25 real wage recovery has reversed. Households are, on average, going backwards again.

One offsetting force: the Fair Work Commission lifted the **national minimum wage 6% to $26.44 an hour** and award rates 4.75% from 1 July 2026 — well above inflation.

KEY TAKEAWAYS

- **Real wage growth ≈ nominal wage growth − inflation.** 3.2% − 3.8% = approximately −0.6%.
- For the RBA this is **reassuring**: moderate wage growth means no **wage–price spiral**. The inflation is coming from costs, not from labour.
- But **unit labour costs remain elevated at 3.3%**, because weak productivity growth means even modest wage rises translate into higher costs per unit of output.

USING THIS IN THE EXAM

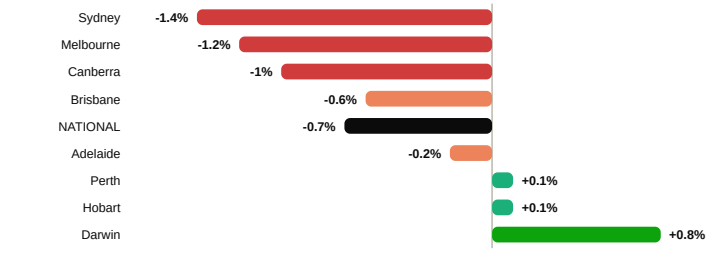
Link the three variables explicitly: wages (3.2%) + productivity (near zero) = unit labour costs (3.3%). That equation is the bridge between the wages data, the productivity problem and the inflation outlook, and it is the sentence that turns a descriptive answer into an analytical one.

TOPIC 3 · DISTRIBUTION OF INCOME · INFLATION · LIVING STANDARDS · → TOPIC 4: LABOUR MARKET POLICY

3.4 Housing values fall at their fastest rate since 2022 — and tax policy is part of the reason

EARLY AUGUST · COTALITY HOME VALUE INDEX (JULY) AND ABS LENDING INDICATORS (14 AUGUST)

Change in dwelling values, July 2026



National values fell 0.7% in July, the largest monthly decline since December 2022. Melbourne has now fallen for eight consecutive months. Auction clearance rates across the capitals have been below 50% since late May. Source: Cotality.

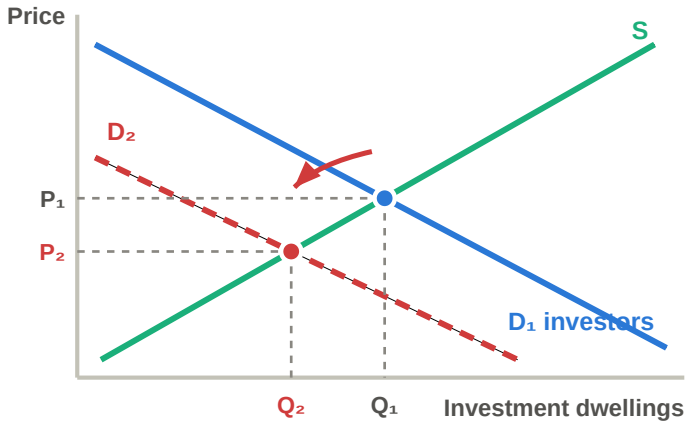
New housing loan commitments fell **5.2% to $97.6 billion** in the June quarter. The fall was heavily concentrated in **investors, down 8.6%**, against owner-occupiers down 3.3% and first home buyers down 2.9%.

The RBA's own explanation is worth quoting precisely, because it identifies two distinct causes. The August Statement attributes the decline to "higher interest rates, softening in the established housing market, and the recently announced **tax changes affecting negative gearing and capital gains**." Assistant Governor Christopher Kent went further on 13 August, noting the fall in prices and clearance rates was *"somewhat exceeding what recent rate increases alone would suggest."*

In other words: monetary policy and fiscal policy are both contracting the housing market at the same time — see item 4.2.

Meanwhile rents keep rising: advertised rents were up **5.9%** over the year to July with a national vacancy rate of just 1.7%, while *CPI* rents rose only 3.6%. The difference is the stock-versus-flow distinction — CPI measures all leases, Cotality measures new ones.

The market for investment housing



Restricting negative gearing to new builds and replacing the 50% CGT discount reduces the after-tax return on established investment property. Investor demand shifts left, lowering both price and quantity transacted — exactly what the −8.6% lending figure shows.

THE SUPPLY SIDE

- Dwelling approvals totalled **205,249 in 2025–26**, up 9.2% — but well short of the **240,000 a year** implied by the National Housing Accord's 1.2 million target.
- Falling prices and clearance rates *discourage* new construction, so a demand-side correction can worsen the supply problem it was partly meant to solve.
- Scheduled mortgage payments reached just under **12% of household disposable income** in the June quarter, near the 2024 peak.
- Buffers are holding: median borrowers in the lowest income quartile hold offset and redraw balances covering **nearly a year** of scheduled repayments.

KEY TAKEAWAYS

- Housing is where **monetary policy**, **fiscal policy** and the **distribution of wealth** intersect — which is why it appears in three different HSC topics.
- Falling house prices reduce household wealth and therefore consumption through the **wealth effect**, reinforcing the slowdown in aggregate demand.
- Property is 45–50% of the big four banks' assets, which is why bank share prices fell sharply during August earnings season.
- Rising rents alongside falling prices shows **demand and supply operating in different markets**: the rental market remains tight even as the purchase market corrects.

TOPIC 3 | DISTRIBUTION OF WEALTH | LIVING STANDARDS | → TOPIC 4: FISCAL POLICY | → TOPIC 4: MONETARY POLICY

3.5 The productivity problem is now the binding constraint on the whole economy

AUGUST · RBA STATEMENT ON MONETARY POLICY AND BOARD COMMENTARY

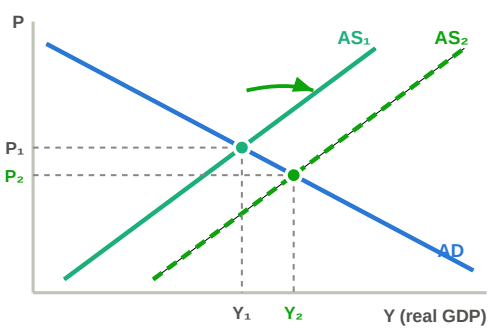
Every RBA communication in August returned to the same point. The Board *"remains concerned about the continued weakness in productivity growth"*, and the Monetary Policy Decision states that *"historically weak productivity growth continues to constrain potential growth."*

The Bank's forecasts assume trend productivity growth of **0.7% a year**, while conceding that *"recent productivity outcomes have been substantially lower."* Potential output growth is put at *"a little above 2 per cent"* for 2027 and 2028.

This is the reason the whole economy feels stuck. If productivity does not grow, the economy cannot expand without generating inflation — the aggregate supply curve simply does not shift out. Every extra dollar of demand becomes a higher price rather than more output. It is also why nominal wage rises of 3.2% still produce unit labour cost growth of 3.3%.

Productivity is a **microeconomic** problem requiring **supply-side solutions**, which is exactly how the government has framed its reform agenda — see item 4.3.

What productivity growth would do



A rightward shift in aggregate supply is the only policy outcome that raises output *and* lowers prices at the same time. It is the one lever that does not force a trade-off — and the one that is hardest and slowest to pull.

KEY TAKEAWAYS

- **Labour productivity = real output ÷ hours worked.** It is the ultimate determinant of real wages and living standards over the long run.
- **Unit labour costs = wage growth − productivity growth.** With productivity near zero, wage growth passes almost fully into business costs and prices.
- Weak productivity lowers **potential GDP**, which means the economy hits its inflationary speed limit at a lower growth rate than it used to.
- Fixing productivity requires **microeconomic reform** — competition, deregulation, infrastructure, skills, technology adoption — and it takes years, not quarters.

TOPIC 3 | ECONOMIC GROWTH | PRODUCTIVITY | → TOPIC 4: MICROECONOMIC POLICY

WHY PRODUCTIVITY GROWTH HAS STALLED — THE FIVE USUAL SUSPECTS

1 · Capital shallowing

Employment has grown faster than the capital stock, so each worker has less equipment to work with. Business investment recovered strongly in the March quarter (+6.0%, machinery and equipment +16.3%) but from a low base.

2 · The composition of jobs

Employment growth has been concentrated in the non-market sector — care, health, education — where output is hard to measure and productivity gains are inherently slow.

3 · Weak competitive pressure

Concentrated markets in banking, groceries, energy and aviation reduce the pressure to innovate. This is the diagnosis behind the National Competition Policy agenda in item 4.3.

4 · Regulatory and planning drag

Occupational licensing that differs by state, 800+ land-use terms and 269 planning zones in one state alone, and heavy vehicle rules that vary across borders all impose real costs on firms operating nationally. The August reform package targets exactly these.

5 · Slow technology diffusion

Australia's leading firms are close to the global frontier; the long tail is not. The RBA notes Australia has limited exposure to the global AI supply chain — we are a consumer of the technology, not a producer, and adoption has been uneven.

THE EQUATION THAT TIES THIS DIGEST TOGETHER

$$\text{unit labour costs} = \text{wage growth} - \text{productivity growth}$$

$$3.3\% \approx 3.2\% - \approx 0\%$$

Wage growth of 3.2% is *historically modest* — well below the 4.3% peak of December 2023 and consistent with no wage–price spiral. Yet unit labour costs are still running at 3.3%, which is squarely inconsistent with 2–3% inflation. The gap is productivity. This single line explains why the RBA can simultaneously say that wage growth is not the problem *and* that it may need to raise rates again — and why the government's answer to an inflation problem is a competition policy agenda.

3.6 The two issues these three weeks quietly made worse: inequality and the transition

AUGUST · DISTRIBUTION OF INCOME AND WEALTH · ENVIRONMENTAL SUSTAINABILITY

Distribution. Nothing in August was announced as a distributional measure, but almost everything had a distributional effect.

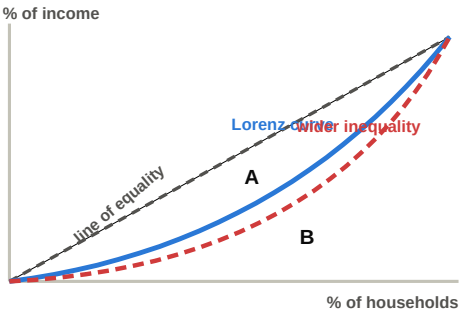
The **$75-a-quarter energy rebate ended** on 31 December 2025. A flat-dollar rebate is *progressive* — worth far more as a share of a low income — so withdrawing it takes proportionally more from the bottom of the distribution. That is the distributional meaning of the 22.4% electricity figure.

Real wages fell 0.6%, and wage earners depend on wages far more than high-wealth households do. Against that, the Fair Work Commission's **6% minimum wage rise** and 4.75% award increase compressed the bottom of the wage distribution upward — one of the few genuinely equalising moves of the year.

Wealth moved in two directions at once. Dwelling values fell 0.7% in July, reducing the wealth of *owners* — but advertised rents rose **5.9%** with a 1.7% vacancy rate, worsening the position of *renters*, who are on average younger and poorer. A housing correction does not automatically reduce housing inequality.

No new ABS income-distribution data was released in this window; the effects above are inferred from price, wage and wealth data and should be presented that way.

Reading the distributional effect



Gini = A ÷ (A + B), where A is the area between the line of equality and the Lorenz curve. A rebate withdrawal that costs low-income households proportionally more bows the curve further from the diagonal, enlarging A and raising the Gini.

ENVIRONMENTAL SUSTAINABILITY

- The 2026–27 Budget's **domestic gas reservation** — requiring exporters to supply 20% of gas exports locally — is insulating Australian households from the global LNG price spike, and is a significant intervention in a market previously left to export contracts.
- The energy shock cuts both ways: high fossil fuel prices strengthen the case for renewables, while construction inflation slows the build-out.
- Copper up 48% and lithium up 85% are in part **transition** prices — decarbonisation is now a first-order driver of Australia's terms of trade.
- The 2026–27 **Safeguard Mechanism** review is under way; no milestone was confirmable in this window.

KEY TAKEAWAYS

- **Gini coefficient** ranges from 0 (perfect equality) to 1 (one household holds all income). Australia's is normally around 0.32 on disposable income.
- Be careful with inference: a change in prices is *evidence about* distribution, not a measurement of it. Say so in an exam answer and you gain marks rather than losing them.

TOPIC 3 | DISTRIBUTION OF INCOME | DISTRIBUTION OF WEALTH | ENVIRONMENTAL SUSTAINABILITY | H9 · RELIABILITY

WHO GAINED AND WHO LOST OVER THESE THREE WEEKS

GROUP	WHAT HAPPENED TO THEM	NET EFFECT
Renters	Rents +5.9% on a 1.7% vacancy rate; electricity +22.4% after the rebate ended; real wages −0.6%.	Clearly worse
Mortgage holders	Variable rates up ~75bp since January; scheduled repayments near 12% of disposable income; the value of the asset falling.	Clearly worse
Minimum and award wage earners	A 6% minimum wage rise and 4.75% award increase from 1 July, above inflation — but hit hardest by electricity.	Mixed
Property investors	Lending down 8.6%; negative gearing restricted to new builds and the CGT discount replaced from 1 July 2027.	Clearly worse
Resource exporters (ex-iron ore)	LNG +99%, coking coal +32%, gold +37%, copper +48%. Record company profits flow into tax receipts.	Clearly better
First home buyers	Falling prices and less investor competition improve access — but dearer mortgages offset much of the gain.	Mixed

4 Economic Policies and Management

Syllabus Topic Four · 25% of course time · Objectives of economic management, fiscal policy, monetary policy, microeconomic and labour market policies, limitations of policy

4.1 The RBA holds at 4.35% — and rules a rate cut out of the conversation entirely

11 AUGUST · MONETARY POLICY BOARD DECISION · UNANIMOUS

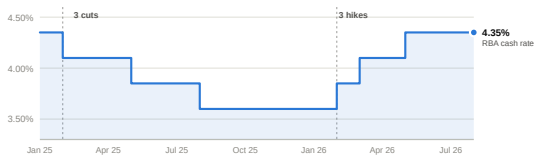
The Board left the cash rate unchanged at **4.35%**, unanimously, after three increases already delivered in February, March and May 2026. The language was not neutral. Headline inflation is *"still too high"*; policy is described as *"somewhat restrictive"*; the Board *"remains attentive to the data."*

Governor Michele Bullock was blunter at the press conference: ***"The Board will raise interest rates further if that is what is required to bring inflation down in a timely way."*** She confirmed the Board had considered only **hold or hike — a cut was not discussed**. Deputy Governor Andrew Hauser told a Queensland audience on 19 August that inflation *"remains unacceptably high."*

This is a **hawkish hold**: no change in the instrument, a clear signal about the direction of the next one. Markets price roughly a 50% chance of an increase by the end of 2026 and about 68% by February 2027.

Assistant Governor Christopher Kent explained on 13 August why the Bank thinks the setting is already restrictive: **4.35% is around the top of central estimates of the neutral rate**, variable mortgage rates rose nearly 75 basis points between January and June, and scheduled mortgage payments are near their 2024 peak as a share of disposable income.

The RBA cash rate, 2025–26



Three cuts in 2025 took the rate to 3.60%. Three hikes in 2026 have taken it all the way back to 4.35%. Source: RBA.

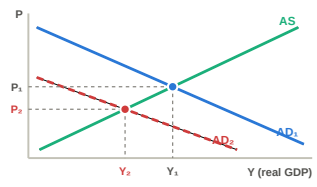
RBA forecasts, August 2026 Statement

YEAR-ENDED	JUN 26	DEC 26	JUN 27	DEC 27	JUN 28
Headline CPI	3.9%	3.6%	2.8%	2.6%	2.4%
Trimmed mean	**3.6%**	**3.3%**	**3.0%**	**2.6%**	**2.4%**
GDP growth	1.9%	1.4%	1.5%	1.6%	1.6%
Unemployment	4.4%	4.5%	4.6%	4.7%	4.8%

Inflation is not forecast to reach the 2.5% midpoint until late 2027 into 2028 — and the RBA judges the risks **"skewed to the upside."**

Cash rate 4.35% RBA sets the target → **Lending rates** ↑ +75bp Jan–Jun 2026 → **Borrowing ↓** Credit growth slows → **Spending ↓** Housing loans −5.2% → **Aggregate demand ↓** GDP forecast 1.4% → **Inflation ↓** but only with a lag

What a rate rise actually does to the economy



Monetary policy works on the **demand** side: it shifts AD left, lowering the price level ($P_1 \rightarrow P_2$) but also lowering output ($Y_1 \rightarrow Y_2$). Compare this with the supply-shock diagram on page 3 — the RBA is using a *demand* instrument against a *supply* problem, which is why the cost in lost output and jobs is unusually high.

THREE LIMITATIONS TO CITE IN AN EVALUATION

- **Time lags.** The three 2026 hikes will not fully bite until 2027, so the Board must steer on forecasts.
- **Blunt and indiscriminate.** One instrument hits every borrower equally — mortgage holders bear the burden, savers gain.
- **Powerless against imported costs.** No cash rate reopens a shipping lane; all the RBA can do is compress domestic demand.

KEY TAKEAWAYS

- The transmission lags are **long and variable** — typically 12 to 18 months — which is why the Board is acting on forecasts, not on today's data.
- The RBA's dual mandate is **price stability and full employment**. In August 2026 those two goals point in opposite directions, and the Board has chosen price stability.
- **Limitation to cite:** monetary policy is a blunt demand-side instrument. It cannot reopen the Strait of Hormuz. It can only suppress domestic demand until it offsets an imported cost shock — at the price of jobs.

USING THIS IN THE EXAM

Quote Bullock directly. Examiners reward a short, accurate, attributed quotation far more than a paraphrase — and "the Board will raise interest rates further if that is what is required" settles the stance question in one line.

TOPIC 4 · MONETARY POLICY · POLICY STANCE · LIMITATIONS OF POLICY · → TOPIC 3: UNEMPLOYMENT

4.2 Fiscal policy: two AAA reaffirmations, a tax reform tranche, and a housing intervention

6, 18, 19 AND 20 AUGUST · AUSTRALIAN TREASURY AND THE PARLIAMENT

Credit ratings. S&P Global reaffirmed Australia's AAA rating on 6 August and Moody's followed on 18 August, praising the *"consolidation of pandemic-era deficits into nearly balanced budgets over a short span of time."* Australia is one of only nine countries rated AAA by all three agencies, and gross debt at the end of 2025–26 came in **$10.6 billion below** the Budget forecast.

Tax reform. Legislation passed on 19 August delivered a **company loss carry-back** for about 85,000 small businesses and a **permanent $20,000 instant asset write-off** for 2.7 million businesses, both from 1 July 2026. The 12 May Budget forecasts an underlying cash deficit of **$31.5 billion** — an expansionary stance while the RBA is tightening, a tension that is itself a legitimate evaluation point.

THE STRUCTURAL REFORM: NEGATIVE GEARING AND CGT

Announced in the 12 May Budget, effective **1 July 2027**:

- Negative gearing restricted to **new builds only** for residential investment property; properties held at 7:30pm on 12 May 2026 are grandfathered.
- The **50% CGT discount replaced** by cost base indexation plus a **30% minimum tax rate** on capital gains.
- Pensioners and income support recipients exempt.

Why it matters now: the RBA explicitly names this as a cause of the 8.6% collapse in investor lending and part of the fall in Sydney and Melbourne prices — a year before it even takes effect. **Announcement effects** are real.

KEY TAKEAWAYS

- The **budget outcome** (surplus/deficit) is partly cyclical and partly structural; the **stance** is judged by the *change* in the structural component, not the headline number.
- **Automatic stabilisers** are working here: rising unemployment increases transfer payments and reduces tax receipts, widening the deficit without any policy decision.
- AAA ratings lower the government's **cost of borrowing** and give it fiscal room in a future downturn — a genuine, quantifiable benefit of fiscal discipline.

TOPIC 4 · FISCAL POLICY · BUDGET OUTCOMES · AUTOMATIC STABILISERS · → TOPIC 3: HOUSING

4.3 Microeconomic reform is now the government's main answer — twelve months on

19 AND 23 AUGUST · TREASURY · PRODUCTIVITY AND COMPETITION POLICY

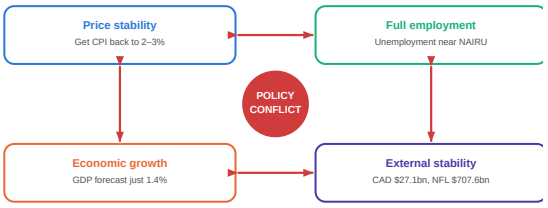
On 19 August the Treasurer marked the first anniversary of the Economic Reform Roundtable, claiming **over 120 reforms** delivered. The framing is telling: faced with an inflation problem, the government's answer is **supply-side**, not demand-side.

The headline claims: **National Competition Policy** projected to raise GDP by **$13 billion annually**; occupational licensing harmonised; healthcare scope-of-practice expanded; **nearly 500 tariffs abolished**; deregulation delivering **$10.2 billion** in annual cost savings; faster environmental approvals fast-tracking 35,000 homes.

On 23 August an **$82.1 million package for Western Australia** came from the **$900 million National Productivity Fund** — consolidating 800+ land-use terms and 269 planning zones, and centralising approvals for high-density housing within 800 metres of train stations.

Migration is the other live lever, with net overseas migration targeted to fall to **225,000 in 2027–28** from over 500,000 in 2023. Business has pushed back: ACCI's Andrew McKellar warned constrained family reunion would make Australia *"more difficult and less attractive"* for skilled migrants. The market read the risk immediately — IDP Education fell **20.7%** on 20 August.

Why governments cannot win on every front



Each arrow marks a trade-off currently live in Australian policy. Raising rates to hit the inflation target raises unemployment. Supporting growth worsens the current account through higher import demand. There is no setting that satisfies all four at once — which is precisely why **microeconomic reform** is so attractive: it is the only policy that shifts the constraint rather than choosing a point along it.

KEY TAKEAWAYS

- **Microeconomic policy** targets aggregate supply and the efficiency of individual markets; macroeconomic policy targets aggregate demand. Only the first raises the economy's speed limit.
- Migration is simultaneously a **labour supply**, **aggregate demand**, **housing demand** and **export** policy. Cutting it has effects in all four directions at once.
- Be sceptical of government claims: *"$13 billion annually"* is a modelled projection, not a measured outcome. Attribute it and note the distinction.

TOPIC 4 · MICROECONOMIC POLICY · COMPETITION POLICY · LABOUR MARKET POLICY · POLICY CONFLICT

→ TOPIC 3: PRODUCTIVITY

The Exam Toolkit

Every statistic in this digest, in one place — plus how to deploy it.

STATISTICS TO KNOW COLD

INDICATOR	FIGURE	REFERENCE PERIOD	SOURCE · RELEASED
RBA cash rate	**4.35%**	Held 11 Aug 2026	RBA
Headline inflation	**3.8%**	Year to June 2026	ABS · 29 Jul
Trimmed mean inflation	**3.6%**	Year to June 2026	ABS · 29 Jul
Electricity prices	**+22.4%**	Year to June 2026	ABS · 29 Jul
Unemployment rate	**4.5%**	July 2026	ABS · 20 Aug
Underemployment rate	**6.4%**	July 2026	ABS · 20 Aug
Participation rate	**66.9%**	July 2026	ABS · 20 Aug
Employment change	**−16,000**	July 2026	ABS · 20 Aug
Wage Price Index	**3.2%**	Year to June qtr 2026	ABS · 19 Aug
Avg weekly earnings	**3.7%**	Year to May 2026	ABS · 13 Aug
Unit labour costs	**3.3%**	Year to March qtr 2026	RBA SMP
GDP growth	**0.3% / 2.5%**	March qtr 2026 / annual	ABS · 3 Jun
Current account deficit	**$27.1bn**	March qtr 2026	ABS · 2 Jun
Net int'l investment liability	**$707.6bn**	31 March 2026	ABS · 2 Jun
Terms of trade	**96.4 (+1.1%)**	March qtr 2026	ABS · 2 Jun
Goods trade balance	**+$1,929m**	June 2026	ABS · 6 Aug
New housing lending	**−5.2%**	June qtr 2026	ABS · 14 Aug
Dwelling approvals	**205,249**	2025–26 financial year	ABS · 30 Jul
National dwelling values	**−0.7%**	July 2026	Cotality
AUD/USD · TWI	**0.7145 · 65.9**	21 August 2026	RBA
Budget underlying cash balance	**−$31.5bn**	2026–27 forecast	Budget · 12 May
Minimum wage	**$26.44/hr (+6%)**	From 1 July 2026	FWC · 2 Jun
Brent crude · iron ore	**US$95 · US$95/t**	21 August 2026	Market
Global growth forecast	**3.0% (IMF) / 2.8% (OECD)**	2026	IMF Jul · OECD Jun

FOUR TRAPS TO AVOID

TRAP 1 · CITING HEADLINE INFLATION ALONE

- 3.8% is falling; 3.6% underlying is not. An answer that mentions only the first has missed the entire point of the August data. Always cite both and explain the gap.

TRAP 2 · TREATING THIS AS DEMAND-PULL INFLATION

- The source is a global supply shock. Any answer that recommends "reducing aggregate demand to fix inflation" without acknowledging that the shock is a leftward AS shift is analysing the wrong diagram.

TRAP 3 · ASSUMING A FALLING AUD MEANS AUSTRALIA IS WEAK

- Exchange rates are bilateral. The AUD rose in mid-August on *US dollar* weakness while Australian data disappointed. Use the TWI when you want to describe the currency's overall value.

TRAP 4 · READING 4.5% UNEMPLOYMENT AS MILD

- Add underemployment: labour force underutilisation is **10.9%**, and the participation rate fell, which flatters the headline. The full picture is materially weaker than the rate suggests.

THREE PRACTICE QUESTIONS

1. (20 marks) Analyse the impact of changes in global economic conditions on Australia's inflation, unemployment and external stability in 2026. In your answer, refer to the role of monetary policy.

Use: Hormuz, Brent at US$95, CPI 3.8%/3.6%, unemployment 4.5%, CAD $27.1bn, cash rate 4.35%.

2. (20 marks) Evaluate the effectiveness of the Australian government's policy mix in achieving its economic objectives in 2026.

Use: the RBA's hawkish hold, the $31.5bn deficit, the negative gearing reform, the $900m National Productivity Fund, and the conflict diagram on page 16.

3. (20 marks) Discuss the extent to which Australia's economic performance is determined by factors beyond the control of Australian policymakers.

Use: the oil shock, Chinese demand, US tariffs at 12.5%, global bond yields — against domestic productivity, tax policy and the wage-setting system.

§ Sources and Verification Note

Where every figure came from — and what could not be confirmed.

PRIMARY SOURCES USED

Australian Bureau of Statistics — Consumer Price Index (June 2026, rel. 29 Jul); Labour Force (July 2026, rel. 20 Aug); Wage Price Index (June qtr, rel. 19 Aug); Average Weekly Earnings (May, rel. 13 Aug); Lending Indicators (June qtr, rel. 14 Aug); International Trade in Goods (June, rel. 6 Aug); Monthly Household Spending Indicator (June, rel. 4 Aug); Building Approvals (June, rel. 30 Jul); Balance of Payments (March qtr, rel. 2 Jun); National Accounts (March qtr, rel. 3 Jun).

Reserve Bank of Australia — Monetary Policy Decision, 11 August 2026; Statement on Monetary Policy, August 2026 (Overview, Outlook, Financial Conditions); Governor Bullock media conference, 11 August; Assistant Governor Kent, *"The Restrictive Stance of Monetary Policy"*, 13 August; Deputy Governor Hauser, 19 August; official exchange rates and cash rate statistics.

Australian Treasury — "12 months of economic reform", 19 Aug; "Next tranche of tax reforms pass the Parliament", 19 Aug; S&P AAA reaffirmation, 6 Aug; Moody's AAA reaffirmation, 18 Aug; 2026–27 Budget; WA productivity package, 23 Aug. **Fair Work Commission** — Annual Wage Review 2026. **Australian Energy Regulator** — Default Market Offer 2026–27. **ATO** — negative gearing and CGT reform guidance.

International — US Federal Reserve (FOMC statement 29 Jul; minutes rel. 19 Aug); US Bureau of Labor Statistics (CPI 12 Aug; Employment Situation 7 Aug); US Energy Information Administration (Short-Term Energy Outlook, 11 Aug); IMF World Economic Outlook Update (8 Jul); OECD Economic Outlook (3 Jun); WTO trade statistics (31 Jul); China National Bureau of Statistics (17 Aug); People's Bank of China (20 Aug); ECB, Bank of England, Bank of Japan, RBNZ.

Market and press — Trading Economics, Westpac IQ commodities update (August 2026), Cotality Home Value Index, ABC News, Al Jazeera, SBS, IG, FXStreet, US Studies Centre, Penn Wharton Budget Model.

THINGS THIS DIGEST DELIBERATELY DOES NOT CLAIM

- The **Jackson Hole symposium runs 27–29 August 2026**, after this digest's cut-off. Nothing said there is reported here.
- There was **no FOMC meeting in August 2026**. The August event was the release of the July *minutes* on 19 August.
- **No IMF or OECD forecast update was published in August 2026.** The figures quoted are the standing July and June forecasts respectively.
- **China announced no new stimulus package in August 2026.** The policy signal was the 30 July Politburo meeting; the PBoC held rates on 20 August.
- July CPI, June-quarter capital expenditure, Business Indicators and the June-quarter National Accounts were all **scheduled for release on or after 26 August** and do not exist as at 23 August.
- Australia's US tariff tier is reported as **12.5%**; one legal source tabulates it as 13%. The discrepancy is unresolved.
- Coking coal is quoted at **US$249/t** on one index; Westpac's premium low-vol forecast is US$205/t for Q3. Different grades — not a contradiction.
- Brent's exact close on 21 August varies between US$94.09 and US$95.29 across sources. "Mid-US$90s" is the safe formulation.

WHY THIS PAGE EXISTS

Syllabus outcome **H9** requires students to *"select and organise information from a variety of sources for relevance and reliability."* Modelling that standard — dating every figure, naming every source, and stating openly what could not be verified — is part of teaching the outcome, not an appendix to it. Encourage students to apply the same test to any statistic they plan to use in an examination: *what is the reference period, who published it, and when?* A statistic without a date is not evidence.

NEXT DATA TO WATCH

26 Aug — CPI, July 2026 · **27 Aug** — Private new capital expenditure, June quarter · **28 Aug** — Kevin Warsh's first Jackson Hole address as Fed chair · **31 Aug** — Business Indicators, June quarter · **early Sep** — June-quarter National Accounts and Balance of Payments · **3 Sep** — International trade in goods, July · **15–16 Sep** — US FOMC decision · **30 Sep** — next RBA Board meeting.